

STATE OF THE ECONOMY
Opposition MPs protest against rising prices in Delhi, Jul. 2022

to 7.7 per cent in the previous month, mainly due to a rise in the urban unemployment rate. Data from the Centre for Monitoring Indian Economy (CMIE) records that urban unemployment rose to 8.96 per cent in November from 7.21 per cent in the previous month. This is a consequence of companies going slow on hiring decisions as the macroeconomic environment grows more uncertain. Manufacturing GDP slowed in the July-September quarter as companies came under margin pressure from high input costs and lagging demand, taking a toll on job creation. The micro, small and medium scale enterprises (MSMEs) have been the most hit by the pandemic, with thousands of them reportedly downing their shutters. In India Today's Mood of the Nation survey in August, as many as 56.4 per cent of the respondents said that the unemployment situation in the country today was 'very serious', illustrating why it remains a very pertinent issue for the Centre to tackle. Widening inequality among the population is another issue that may create fissures for the Modi government.

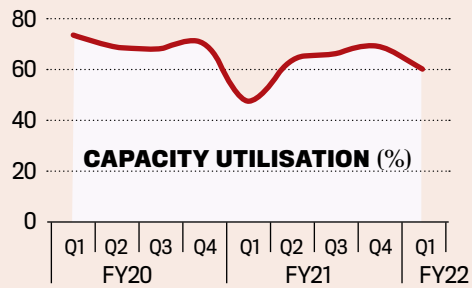
UNEMPLOYMENT AND INFLATION HAVE A HUGE BEARING ON ELECTORAL FORTUNES AND THE CONTINUING WAR IN UKRAINE IS ONLY EXPECTED TO MAKE MATTERS WORSE

On the positive side, experts have pinned hope on government spending on infrastructure, especially in sectors like steel and cement, to boost employment. Healthy tax collection, and strong corporate balance sheets are other encouraging developments. But reviving manufacturing, particularly the MSME sector, remains unfinished business, and only that can create jobs with higher income, which in turn is crucial to generate demand. When finance minister Nirmala Sitharaman presents the next Union budget, it will in many senses be an election budget, giving the Modi government the opportunity to focus on key thrust areas.

The economy was also underperforming in 2019. Modi still managed to win a second time, with the BJP securing a majority on its own. His towering presence was of course a factor, but that win also came about courtesy the black swan event of the Pulwama terror attack and Modi's firm counter in the shape of air strikes on a terrorist camp in Balakot. The prime minister has other aces up his sleeve in the run-up to the 2024 general election, chief among them the long-promised Ram temple in Ayodhya, which will find favour with many in the country's Hindu majority. The abrogation of Article 370 in Kashmir and the government's push for a Uniform Civil Code, even as the BJP woos the Pasmanda or marginalised Muslims, are perceived as other aspects of his strong and decisive leadership. In addition, Modi also holds the development card, showcasing a whole bouquet of welfare measures that he has successfully executed. All these make the prime minister the favourite to win a third term for himself and his party. But he has to ensure that the Modi magic holds till then, to make the win a certainty. ■

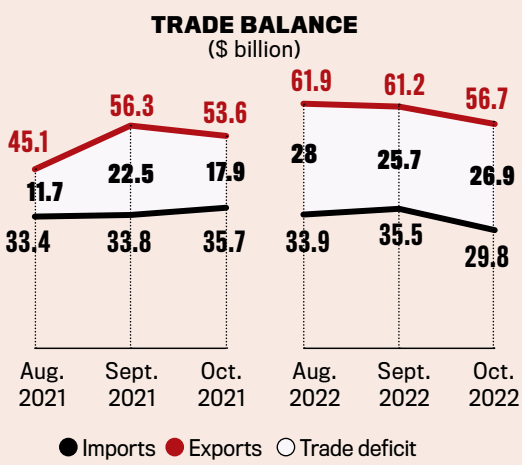
STILL LACKLUSTRE

Capacity utilisation in factories has been lagging, impacting investment in new projects



TRADE CONCERNS

Merchandise exports fell sharply in October compared to a year ago, while imports rose



Sources: National Statistics Office, CRISIL, CMIE, CEIC, Bank of Baroda Research